

Swanzey Operating Plan

Budget · Forecast · Capital — a consolidated operating reference

PRIVATE working document · v0.2 (auto-built from the workbooks) · June 2026

Capital tables & charts generated live from the Capital Workbook; forecast from the Financial Model

Edit the workbook input cells, re-run build, and this plan refreshes

0. Purpose

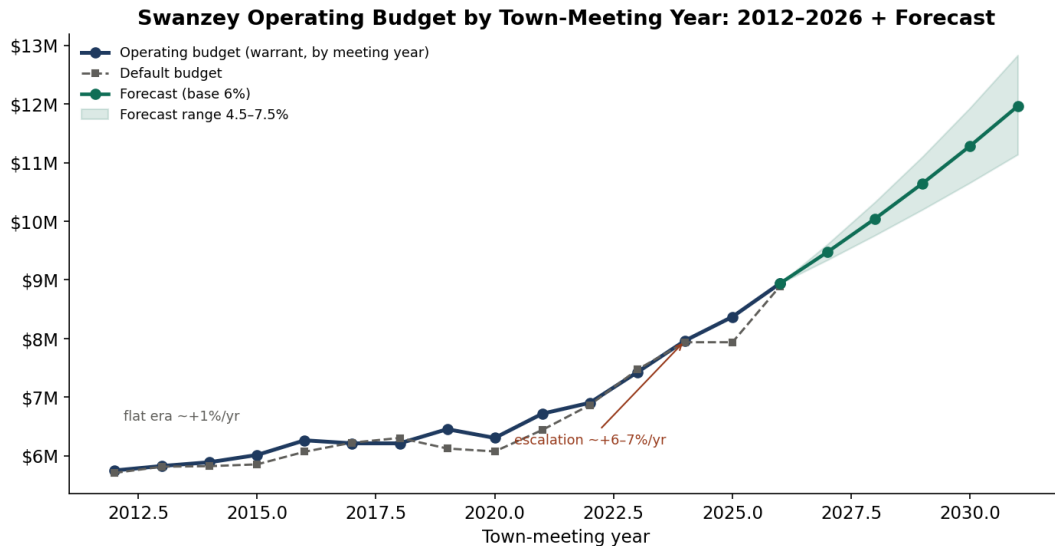
One reference holding the Town's budget, a forecast, and the capital plan together — and it is now auto-built from the workbooks: the capital tables, the funding chart, the tax-glide chart, and the forecast are generated from the Capital Workbook and Financial Model. Edit the input cells, re-run the build, and this document refreshes. Every figure traces to the Town's own reports; capital figures and forecasts are clearly-labeled planning estimates.

Operating thesis: the Town will **SAVE** but won't **BORROW**. Fund the backlog with majority-vote reserves + state aid + the water revolving fund — not bonds — and the projects that keep stalling get built without a tax spike or a 3/5 vote.

PART I — BUDGET

1. The 15-year record

Operating budgets have risen ~55% since 2012 to roughly \$8.94M (2026), with a flat early-2010s (~+1%/yr) giving way to a +6–7%/yr climb since 2020.

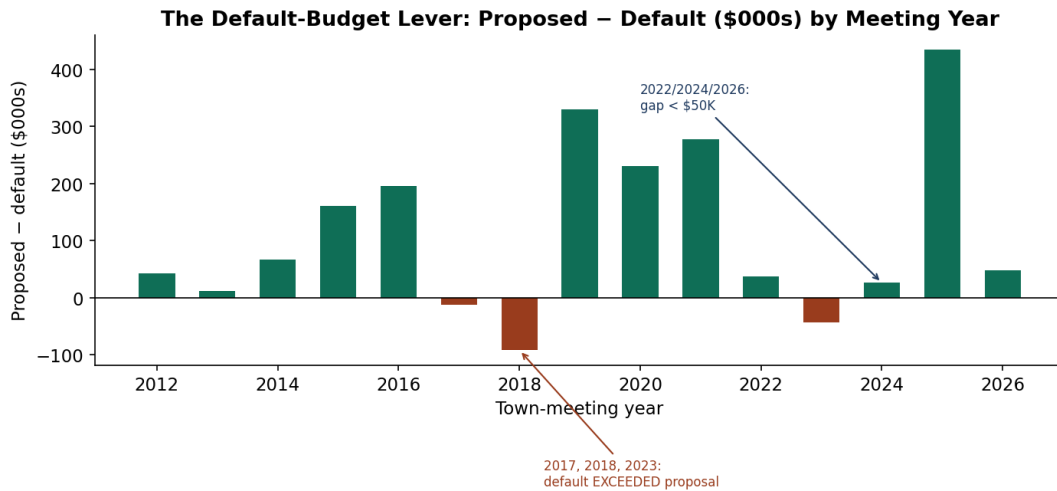


Operating budget by town-meeting year, 2012–2026, with the forecast band (Part II).

Meeting year	Operating (proposed)	Default	Budget % YES
2012	\$5,747,885	\$5,705,757	80%
2016	\$6,262,426	\$6,067,144	68%
2020	\$6,303,000	\$6,072,735	—
2023	\$7,425,000	\$7,468,834	62%
2025	\$8,370,000	\$7,935,699	57%
2026	\$8,939,036	\$8,891,785	passed

2. How the budget works (and why the 'no' lever is gone)

- **Governing law — RSA 32.** Appropriation by purpose; no over-expenditure (32:8); transfers within the total (32:10); lapse (32:7); emergency over-spend needs DRA approval (32:11).
- **Forms.** MS-636 / MS-737; MS-232 'Appropriations as Voted' filed within 20 days.
- **SB2 default — RSA 40:13, IX.** If the operating article fails, the default takes effect. In Swanzey it now sits within ~\$47K of the proposal — and exceeded it in 2017, 2018, and 2023. 'Vote no to save' no longer works.



A 'no' vote installs the default. Repeatedly near-zero or negative — the savings lever is weak. Source: Annual Reports.

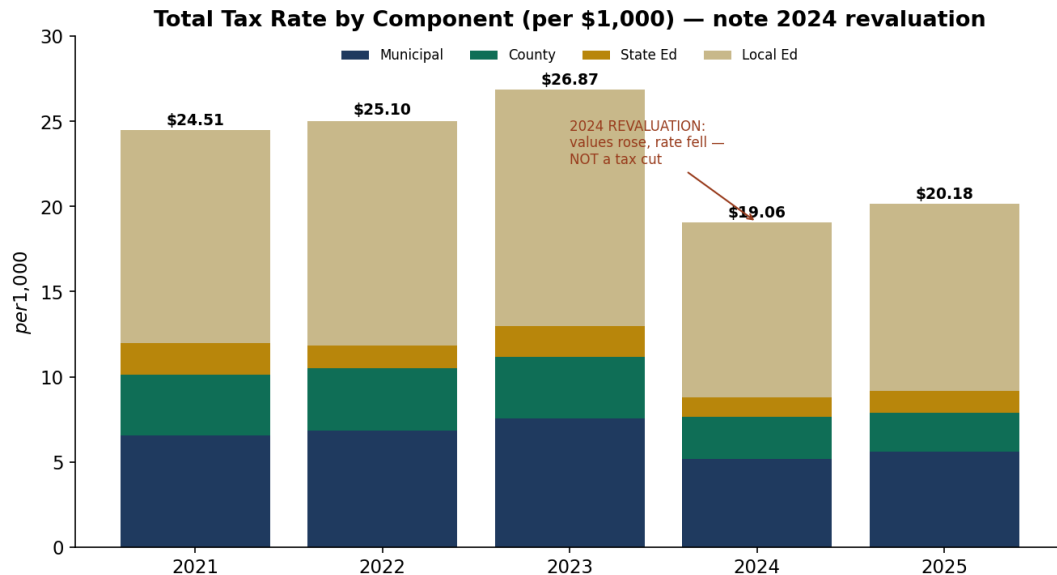
Proposed minus default budget by meeting year — repeatedly near zero or negative.

3. Cost drivers

Structural, not programmatic: health insurance, wages, the NH Retirement System (RSA 100-A) employer rate, and the ambulance/EMS contract — largely non-discretionary.

4. Tax rate & the 2024 revaluation

Total rate: \$24.51 (2021) → \$26.87 (2023) → \$19.06 (2024) → \$20.18 (2025). The 2024 drop was a revaluation, not a tax cut. Education is ~60% of the bill; the municipal share is ~a quarter.



Education = ~60% of the bill. Source: NH DRA / Town of Swansey (2021–2025).

Total tax rate by component, 2021–2025.

PART II — FORECAST

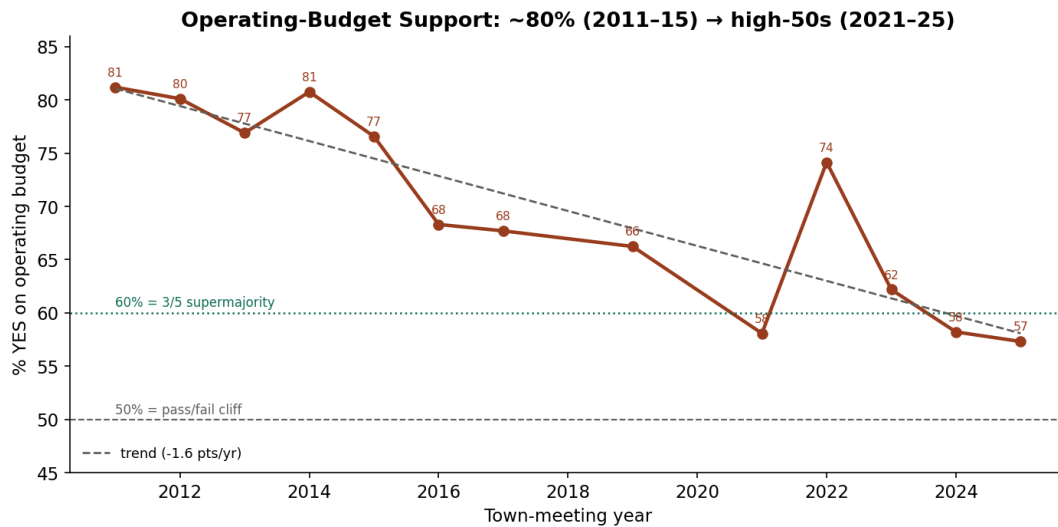
Auto-built from the Financial Model (base \$8,939,036; low/base/high growth). Scenarios, not predictions.

Fiscal year	Low (4.5%)	Base (6.0%)	High (7.5%)
2026 (actual)	\$8.94M	\$8.94M	\$8.94M
2027	\$9.34M	\$9.48M	\$9.61M
2028	\$9.76M	\$10.04M	\$10.33M
2029	\$10.20M	\$10.65M	\$11.10M
2030	\$10.66M	\$11.29M	\$11.94M
2031	\$11.14M	\$11.96M	\$12.83M

Base case reaches \$11.96M by 2031 — purely on the cost escalators.

Budget-approval risk & fund balance

Operating-budget support slid from ~80% (2011–15) to 57% (2025); a budget failure is plausible within a few cycles, though muted because the default ≈ the proposal.



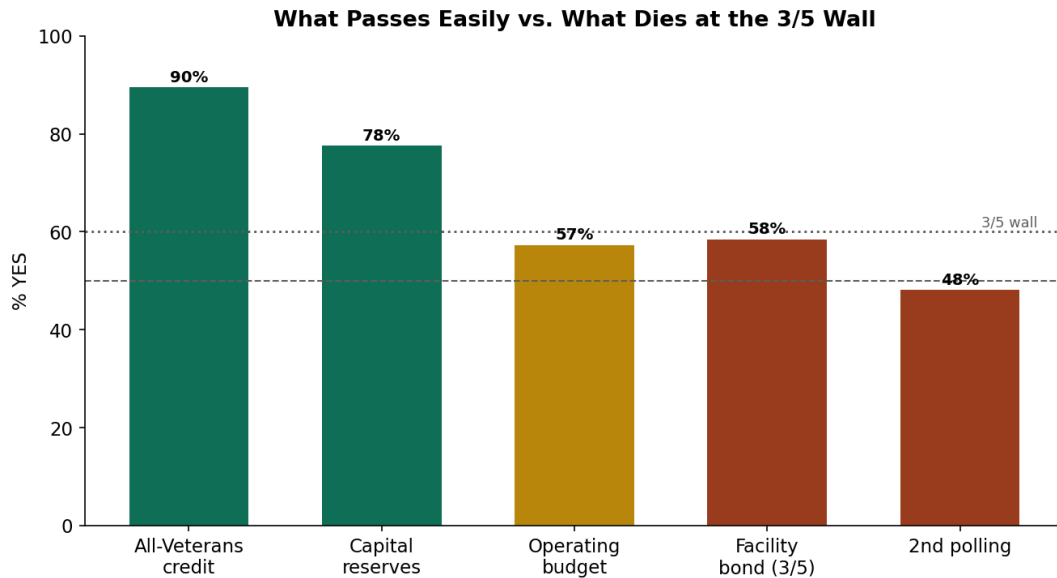
Operating-budget support, 2011–2025, with trend.

Fund-balance guidance. Hold unassigned fund balance in DRA's prudent band (≈5–17% of the operating budget); treat any amount applied to reduce taxes as multi-year smoothing.

PART III — CAPITAL PLAN

5. The backlog and the 3/5 problem

About \$5.28M of identified needs. The public-works facility won majorities in 2024 and 2026 but failed the 3/5 a bond requires; reserves and credits pass 78–90%.

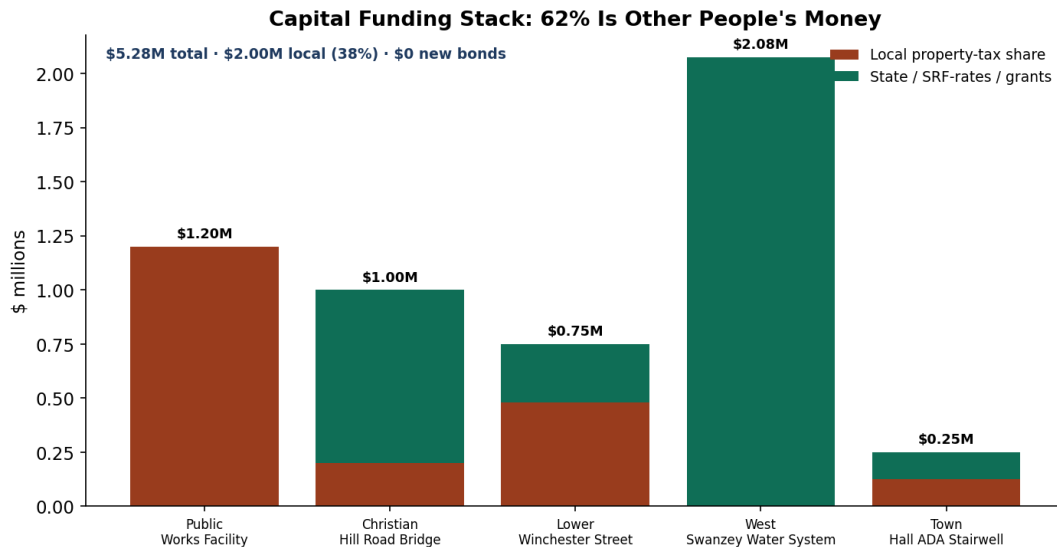


Reserves & credits 78–90%; facility bonds get majorities but never 3/5. Source: Annual Reports / news.

What passes easily versus what dies at the 3/5 wall.

6. The funding strategy — other people's money

About 62% of the backlog is non-property-tax money (state bridge aid, DWSRF water rates, grants), leaving \$2.00M local — saved via majority-vote reserves, with \$0 new bonds.



Generated live from the Capital Workbook. Modeled estimates.

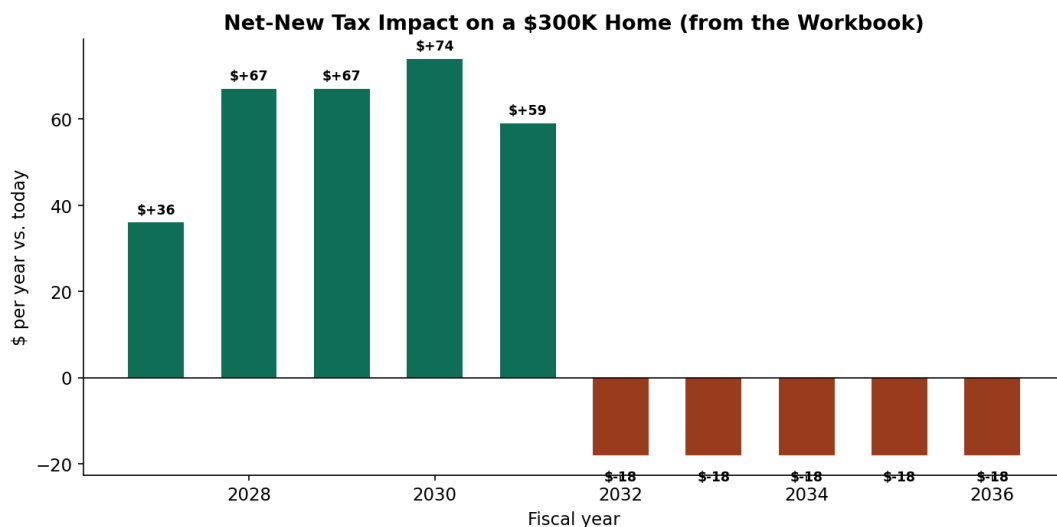
Funding stack by project (generated from the Capital Workbook).

Project	Total	Local share	Primary funding path
Public Works Facility	\$1.20M	\$1.20M	RSA 35 capital reserve (pay-go by ~2031)

Project	Total	Local share	Primary funding path
Christian Hill Road Bridge	\$1.00M	\$0.20M	RSA 234 state bridge aid (80%) + bridge reserve (20%)
Lower Winchester Street	\$0.75M	\$0.48M	Highway block grant + roads reserve
West Swanzey Water System	\$2.08M	\$0.00M	NHDES DWSRF (repaid by water rates) + grants/forgiveness
Town Hall ADA Stairwell	\$0.25M	\$0.12M	CDBG/accessibility grant + facilities reserve
TOTAL	\$5.28M	\$2.00M (38%)	\$0 new bonds

7. The reserve ladder & the tax glide

Capital Reserve Fund	Annual deposit	Funds	Vote
Public Works Facility	\$200,000	the facility (pay-go by ~2031)	majority
Bridges	\$50,000	Christian Hill 20% share (state pays 80%)	majority
Highway Reconstruction	\$100,000	Lower Winchester St & roads	majority
Highway Equipment	\$90,000	plow/fleet replacement cycle	majority
Fire Apparatus	\$70,000	engine/tanker cycle	majority
Town Facilities (incl. ADA)	\$40,000	Town Hall ADA, building renewal	majority
Technology & Records	\$20,000	GIS, cyber, RSA 33-A retention	majority



Generated live from the Capital Workbook 10-Year Plan + Assumptions.

Net-new tax impact on a \$300K home: peaks ≈ \$74, then below today once built.

8. Decision rules

If the project is...	Use...	Because
≤ ~\$250K, recurring	a capital reserve (pay-go)	simple majority, no interest
a town bridge (≥10 ft)	RSA 234 aid + reserve for 20%	state pays 80%
water/sewer	DWSRF, repaid by rates	off the property tax
large, urgent, unavoidable	Bond Bank (RSA 33) — last resort	only when reserves can't get there in time

If the project is...	Use...	Because
anything	listed in the published CIP first	surprise becomes expectation

PART IV — OPERATING PLAYBOOK

9. The first twelve months

Quarter	Moves
Q1	Stabilize the administrator's office (multi-year agreement + written evaluation). Publish a draft six-year CIP. Issue the one-page tax-bill explainer.
Q2	Warrant & pass the capital reserve ladder (majority votes). File State Bridge Aid for Christian Hill Rd. Commission the water rate study.
Q3	Advance DWSRF water financing. Deliver one visible small win (ADA via CDBG + reserve). Adopt operating norms for the five-member board.
Q4	Bring the full CIP + reserve plan to the deliberative session with an information night. Report the year's progress publicly.

10. The annual municipal cycle

When	What
By Sept 1	File MS-1 (valuation), MS-434 (revenues), MS-535 (financial report)
Oct–Dec	Build budget & default; CIP update; budget public hearing; post warrant (RSA 31:95)
~1st Tue Feb	SB2 deliberative session
~2nd Tue Mar	SB2 ballot: budget, articles, officers
Meeting +20 days	File MS-232 'Appropriations as Voted'
Fall	DRA sets the tax rate; issue tax bills

11. Dashboard — numbers to watch

Metric	Now
Capital backlog	\$5.28M (62% non-tax; \$2.00M local)
Peak reserve tax impact	≈ \$74/yr on a \$300K home, then below today
Operating budget / support	~\$8.94M (2026); support 57% — arrest the slide with transparency
Unassigned fund balance	keep ~5–17% of operating budget
Total tax rate / valuation	\$20.18 (2025); valuation input = \$978.6M (REFRESH with real MS-1)
Next statutory deadline	always know it (MS-1 / MS-232 / hearing / warrant)

Appendix — Provenance & sync

Auto-built from: the Capital Workbook (Assumptions, Projects, Reserve Ladder, 10-Year Plan) and the Financial Model (Forecast). To refresh: edit the input cells in those workbooks, then run `build_from_workbook.py` + `render_opplan.py`. Real figures from the Town's annual reports (2011–2025), NH DRA, and local news; capital figures and forecasts are planning estimates. Key statutes: RSA 32, 40:13, 35, 33/35-A, 234, 38, 162-K, 674:5-8, 91-A, 33-A, 165, 273-A, 100-A.